

generate alpha, he adds.

A study by Motilal Oswal Asset Management Company in August 2023 reveals that at present 61% of Indian investors have put their money in at least one passive fund, underscoring the fast-growing adoption of such funds in India. It says that passive funds have taken centre stage in India over the past few years, gaining market share—from 1.4% of the MF industry's AUM in 2015 to 17% today.

Sharwan Kumar Goyal, Fund Manager and Head-Passive, Arbitrage, and Quant strategies at UTI AMC, cites low cost and simplicity to generate market returns (beta) and the fact that retirement funds invest 10-15% of annual accretion in passive funds as reasons for phenomenal growth in passive funds in the past 8-10 years. "We are also witnessing strong interest in these funds from distributors and retail investors in recent times," he says.

INVESTING STRATEGIES

Passive MF products typically come in the form of ETFs and index funds. Like stocks or debt securities, ETFs are traded on stock exchanges and replicate a particular index. A Nifty ETF that tracks

the Nifty 50 index, for instance, will own the same stocks as the index and in the same ratio as their weighting on the index. Investors get to participate in the segments of markets they choose. One requires a demat account to invest in an ETF. On the other hand, index funds are like MFs, and they invest in popular indices such as the Nifty 50 or Sensex 100. Moreover, index fund investing does not require a demat account. However, they have higher expense ratios than ETFs, as they are primarily managed by fund managers.

Currently, index funds account for 23% of the ₹9 lakh crore AUM of passive funds, ETFs for 74%, and fund of funds investing overseas for the remaining 3%.

ETFs, according to Goyal, are a good choice for those who understand the nuances of secondary market investing, are comfortable buying stocks, and have a demat and trading account, while index funds are a good option for those who are comfortable investing in MF schemes in the traditional way, which is through MFs. Although from a fund management perspective, they both help investors generate market returns.

Can different strategies be chosen for passive investing? Yes, ETFs allow investors to diversify their investments across equities, fixed-income options, and commodities markets. There are several funds available within each asset class. Investors have the option of investing in market cap-based funds such as large-cap, mid-cap, or small-cap. They could also play sectors or themes like banking, IT, consumption, etc., through ETFs.

There are also various strategies available within these asset classes. For example, some ETFs offer investors the opportunity to invest only in government securities, while others provide exposure to corporate bonds. Several innovative strategy ETFs, such as dividend yield and value, exist on the equity side, enabling investors to implement specific strategies.

"While it is true that most often the interest is limited towards benchmark indices-based offerings, at ICICI Prudential AMC, in 2023, we saw increased traction for smart beta strategies like momentum, alpha low volume and low volume. Also, sectoral offerings based on banks and IT saw investor interest," says Haria of ICICI Prudential AMC.

Another advantage of ETFs is that one can invest more than 10% [of their total portfolio] in a stock, which is not allowed under equity funds. "In the case of ETFs, there's no stock cap," says Goyal; if the index has more than 10% weight, an investor can invest more than 10% in that particular stock.

THE FINE PRINT

There are a few points to keep in mind while following the passive investment strategy. An ETF should closely replicate the underlying index. If an index has deliv-

